

Professional Practice

STRUCTURE OF ORGANIZATIONS

Companies

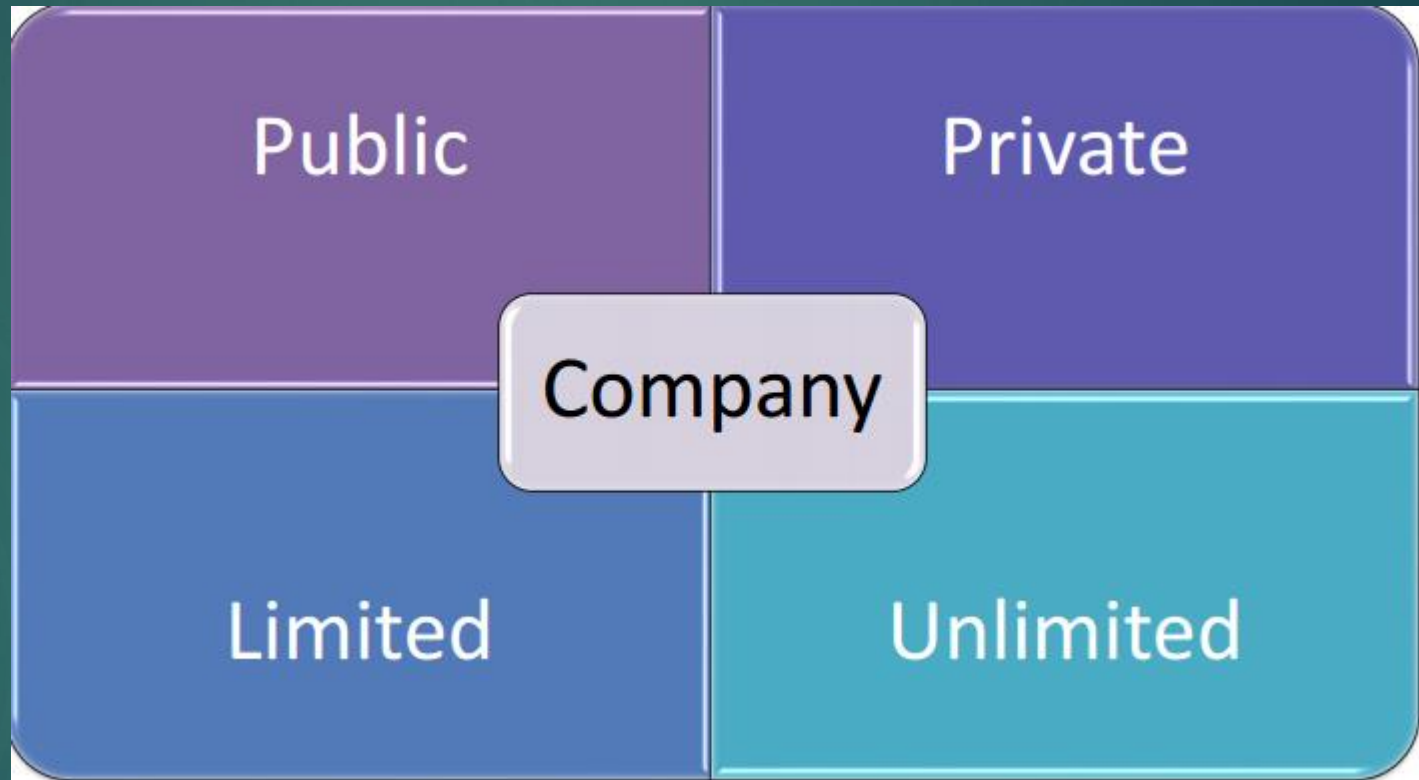
- ▶ A company is a legal entity made up of an association of people.
- ▶ • Company members share a common purpose, and unite in order to focus their various talents and organize their collectively available skills or resources to achieve specific, declared goals.

Companies

- ▶ The essence of a company is that it enjoys an independent existence as a legal person.
- Ownership of the company is divided into a number of shares.
- An individual or another company may own one or more shares.
- Individuals who own shares in a company are known as the shareholders or members of the company

Types of Companies

- ▶ Public
- ▶ Private
- ▶ Limited
- ▶ Unlimited



Public Company

- ▶ **Public** companies are allowed to offer their share to the public and their names must end with the word “Public limited company”.
- ▶ • A public company has a minimum paid up capital of Rs. 5 lacs.
- ▶ • Minimum 7 shareholder maximum no limit for the number of members/shareholder.
- ▶ Suitable for large business.

Public Company

- ▶ **Paid-up capital** is the amount of money a company has received from shareholders in exchange for shares of stock. **Paid-up capital** is created when a company sells its shares on the primary market directly to investors.
- ▶ **Examples of Public companies in Pakistan:**
 - ▶ ITTEHAD CHEMICALS LTD. Lahore
 - ▶ SITARA CHEMICAL INDUSTRIES LIMITED. Karachi

Private Company

- ▶ A **private company** is a firm held under **private** ownership. **Private companies** may issue stock and have shareholders, but their shares do not trade on public exchanges and are not issued through an initial public offering (IPO)
- ▶ A **private** company cannot offer its shares to the public and its name must end with the word “limited”.
 - It has a minimum paid up capital of Rs. 1 lakh.
 - It prohibits any invitation from public for subscription to shares and any acceptance of deposits from persons other than members or directors.
- ▶ Minimum 2 and maximum 200 shareholder.

Examples

- ▶ Khalil Private **Limited**. ...
- ▶ Ayan Citrus Private **Ltd**
- ▶ [Xpert Solutions](#)

Unlimited Company

UNLIMITED COMPANY

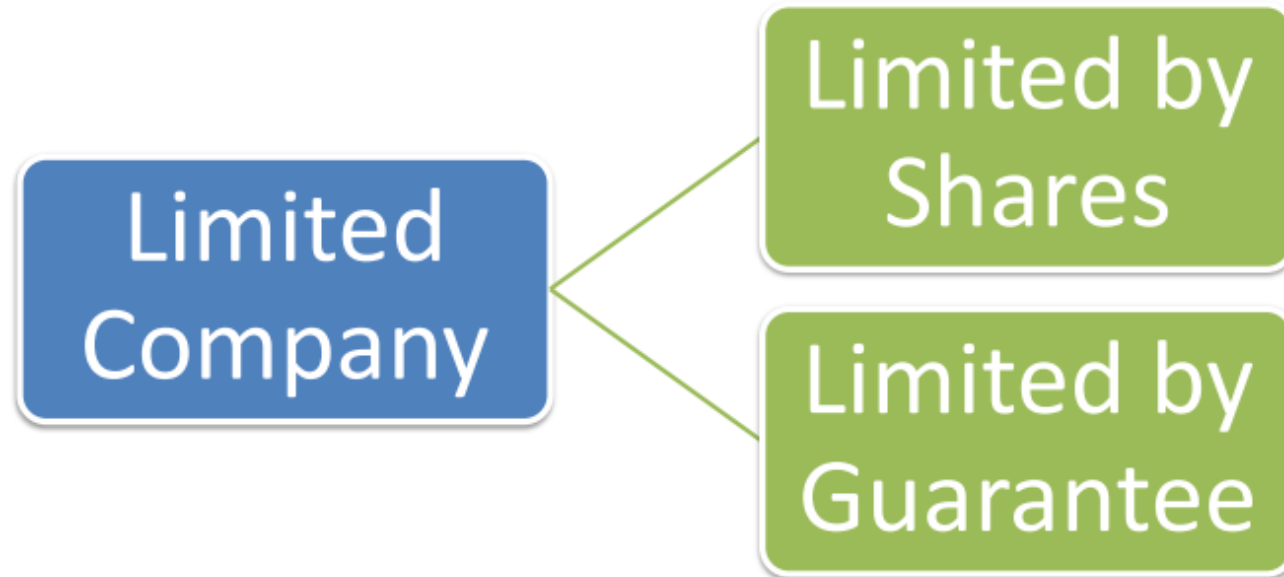
- This company may or may not have a share capital and is **rarely used as a trading company.**
- It has been used for **mutual funds** where the company holds assets as investments among the shareholders.
- If a shareholder wishes to leave, he **may sell back his shares to the company.**

Unlimited Company

- ▶ In an **unlimited company**, the shareholders are personally liable for all the company's debts.
- ▶
 - The shareholders (or members) of this type of company have unlimited liability.

Limited Company

Companies



Company limited by Guarantee:

- ▶ Commonly used where companies are formed for non-commercial purposes, such as professional bodies or charities.
- ▶ – The members guarantee the payment of certain fixed, usually small amount towards the company's debts if the company wound up
- ▶ – otherwise they have no economic rights in relation to the company

Limited by share

- ▶ It is the most common form of company used for business ventures(risky investment : high success/failure)
- ▶ – Specifically, a limited company is a company in which the liability of each shareholder is limited to the amount individually invested
- ▶ – Corporations are the most common example of a limited company

“Computer Contracts”

- ▶ A contract is an agreement between two or more persons creating rights & duties and which is enforceable by law.
- ▶ • A contract is a promise or set of promises that are legally enforceable and, if violated, allow the injured party access to legal remedies.
- ▶ • An agreement between persons which obliges each party to do or not to do a certain thing.

Contract

- ▶ Should be set out in a clear and logical manner
- ▶ – should be complete and consistent
- ▶ – Should have no ambiguity
- ▶ – Should be free of doubts regarding the rights and duties of concerned parties

Contract

- ▶ There are four types of contractual arrangement which are widely used in connection with the provision of software services.
- ▶ – Contract hire
- ▶ – Time and materials
- ▶ – Consultancy
- ▶ – Fixed price

Contracts for the Supply of Custom-built Software at a Fixed Price

- ▶ Structure of the Contract
- ▶
 - A short introductory section
 - A set of standard terms and conditions
 - A set of appendix or annexes

The Introductory Section

- ▶ The introductory section states that it is an agreement between the parties whose names and registered addresses are given.
- ▶
 - It is dated and signed by the authorized representatives of the parties.

What is to be Produced

- ▶ Contract must state what is to be produced.
- ▶ • Two level references is normally used.

What Is to be Delivered

- ▶ Producing software is not simply handing over the text of program.
 - Some other possibilities are
 - Source code
 - Command files for building the executable code from the source and installing it.
 - Documentation of the design and code.
 - Different manuals
 - Test data and test results

Ownership of Rights

- ▶ Contract should state what legal rights are being passed by the software house the client under the contract.

Confidentiality

- ▶ *Confidentiality* is the protection of personal information. *Confidentiality* means keeping a client's information between you and the client, and not telling others including coworkers, friends, family, etc.
- ▶ • It should be highly considered while writing a contract

Payment Terms

- ▶ Standard terms and conditions will specify the payment conditions like “payment shall become due within thirty days of the date of issue of an invoice.
- ▶ If payment is delayed by more than thirty days from due date, the company shall have the right to terminate the contract or to apply a surcharge at an interest rate of 2 per cent.

Penalty Clauses

- ▶ Delays caused by suppliers are handled by penalty clauses.

Some other sections of a contract

- ▶ Standards and Methods of Working
 - Progress meetings
 - Project managers
 - Acceptance procedure
 - Warranty and maintenance
 - Indemnity
 - Termination of the contract
 - Arbitration(Arbitration, a form of alternative dispute resolution, is a way to resolve disputes outside the courts)
 - Inflation
 - Applicable law

General Info.

- ▶ **Applicable Law** means all **applicable** provisions of constitutions, **laws**, statutes, ordinances, rules, treaties, regulations, permits, licenses, approvals, interpretations and orders of courts or Governmental Authorities and all orders and decrees of all courts and arbitrators.
- ▶ Stamp paper : way of collecting revenue for govt.